

Calderwood Partners LLC

www.calderwoodpartners.com

May 11, 2012

Mark Villegas
Chief Financial Officer
Garcia-Werner

Dear Mr. Villegas:

This letter sets down the terms on which our firm will act for Garcia-Werner in the market entry assessment we discussed last week, and, once you have signed and returned the copy enclosed for that purpose, it will stand as the agreement between us. I have written it in plain language and at some length, because you are entitled to know exactly what you are agreeing to and not to sign something whose reach you have to guess at; and I would ask that, before you countersign, you read it against the conversation we had and tell me if anything set out here departs from what you understood us to have agreed.

The Assignment and Its Boundaries

What we have undertaken to do for Garcia-Werner is to assess the case for the market entry you are weighing, and to do so in a way that gives your board a decision it can stand behind rather than a document it can merely file. We will describe the market as it is, size the opportunity it presents with the candor a real decision requires, weigh the ways into it together with the cost and the risk that each way carries, and set out a recommendation alongside the reasoning that leads to it, so that if you come to disagree with the recommendation you can see precisely where your judgment parts from ours.

The engagement covers our analysis and our counsel; it does not extend to carrying out whatever you decide, nor does it include legal, tax, regulatory, or accounting advice, on which you should continue to rely on the advisers who ordinarily provide it to you. Where our work touches those questions, what we offer is an informed view and not a professional opinion in their place, and we will say so plainly at the points where the distinction matters.

Our manner of working is deliberate. We begin by learning how your business runs and what the entry is meant to achieve for it, before we commit any finding to paper; we test what we are told against evidence we can gather for ourselves; and

we bring you our thinking as it develops instead of holding it back for a single unveiling, so that the conclusions, when they come, contain no surprises. Where the evidence will not support a firm answer we will tell you so, and tell you what it would take to get one, because an assessment that overstates its own certainty is of no use to a board that has to act on it.

The People Who Will Do the Work

Jason Torres, a Principal of the firm, will lead the engagement and will be your point of contact for any matter of substance; he is direct by temperament and will tell you what the analysis shows whether or not it is what you were hoping to hear, which is the quality you are engaging him for. James Green will build and maintain the models and the exhibits on which the assessment rests, and will see to it that every figure we place in front of you can be traced back to where it came from. Deborah Gordon will lead the benchmarking and the market data that ground the recommendation, and she is at her most exacting where the numbers are concerned. I will keep my own hand on the work at the points where a judgment must be made about how far a conclusion can be pressed before it outruns the evidence, and nothing will leave the firm under our name without my having read it first.

Our Fee and the Basis of Our Charges

Our fee for the engagement as I have described it is \$69,500, fixed for the scope set out above and covering the time of the people named. We will render invoices against that sum as the work proceeds, and each invoice will be payable within thirty days of your receipt of it. The fee does not include incidental costs such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; and should you ask us to widen the work materially beyond what this letter contemplates, I will raise the question of the fee with you and we will settle it together before that further work begins, so that nothing reaches you on an invoice you have not agreed to in advance.

Duration and Ending the Engagement

The engagement begins on May 21, 2012 and is expected to run for about three months, though we will treat it as finished when the work is genuinely done and not merely when the calendar says that it should be. Either of us may bring it to an end on fourteen days' written notice to the other, for any reason or for none; if you are the one to do so, you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Garcia-Werner in the course of this work we will hold in confidence and use only for the purposes of the engagement, an obligation that binds each member of the team, that survives the end of our involvement, and that covers the fact of the engagement as fully as it covers its substance. We ask the same of you in respect of the methods and the written materials we share with you, which are the firm's own and are given to you for your use and not for wider circulation.

The Limit of Our Responsibility

We will carry out the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, control the decision you will ultimately take or the conditions of the market you may enter, and so, except to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder of it will continue in force, unaffected by that provision's failure.

If this letter reflects the understanding we reached, please sign the enclosed copy where indicated below and return it to me, keeping the other for your own file; once your signed copy is in hand, Jason Torres will write to you within the week to arrange the first meetings and the initial requests for information, so that we can begin without losing time.

Julie Ramsey

Managing Principal

Date: May 11, 2012

Mark Villegas

Chief Financial Officer, Garcia-Werner

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